

Summit likely to deliver limited tariff cuts beyond Busan scope

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【メール原文】

The 24 September US-China summit will deliver an extension of the trade truce and limited tariff reductions in non-sensitive trade but fail to deliver|||||||

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United States

The summit will likely extend the trade truce and deliver limited reductions in non-sensitive trade. This weekend's meeting in New York between Vice Premier He Lifeng and Treasury Secretary Scott Bessent will help define what presidents Xi Jinping and Donald Trump can announce at the 24 September summit in Washington. The most meaningful deliverable is likely to be a six-month extension of the Busan truce, which the White House hopes will keep pressure on Beijing to maintain exports of critical minerals to US companies.

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Limited tariff reductions in non-sensitive trade under the Board of Trade are the most likely additional area of agreement, covering US agricultural and energy exports and Chinese manufacturing inputs. China has publicized recent soybean purchases, which now exceed half of its 25 million-tonne annual pledge. The Chinese president will reportedly bring a CEO delegation.

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Beijing views the US AI governance debate as aimed at constraining China's rise. Anthropic CEO Dario Amodei's 12 September call to "pace" frontier AI development proposes, among other things, tighter controls on advanced chip sales to China and curbs on distilling US models. On 14 September, China's Foreign Ministry dismissed the essay as "fearmongering" and interpreted it as a bid to preserve US

technological advantages.

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Beijing sees both the pro- and anti-regulation camps in Washington as aligned on competition with China. Trump has dismissed AI safety concerns as a "hoax" that helps China while insisting the US must win the AI race. That stance reinforces Chinese doubts that the bilateral AI dialogue can produce substantive progress, though narrower safety exchanges remain possible.

Technology

Beijing is tightening AI oversight on its own terms. While Washington debates whether to slow frontier AI, China is rolling out new guidance on controlling autonomous systems and protecting sensitive information, while also further encouraging companies to adopt AI.

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Risks from autonomous agents are drawing greater attention. China's third AI Safety Governance Framework, published on 14 September, proposed an agentic AI risk management framework throughout a product's lifecycle, highlighted risks for embodied AI, and flagged recursive development as a source of potential new risk. The emphasis on agentic AI followed the June announcement of a new mandatory national standard for AI agents. Chinese media claim the national standard is the first comprehensive agent regulation of its kind.

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State Security Minister Chen Yixin has called for stronger monitoring of AI companies and a strengthening of cyber defense. In a 13 September article, Chen identified six categories of AI risk and cited Anthropic's Claude Mythos and OpenAI's GPT-5.5-Cyber as threats to Chinese critical infrastructure. His proposals would increase scrutiny of how companies use AI and handle sensitive information. Support for domestic capabilities would also reinforce the drive for technological self-reliance.

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Meanwhile, China is backing wider AI adoption. A new AI-plus-software initiative presented on 11 September aims to spread AI use across 20,000 qualifying software enterprises and develop 100 demonstration applications using AI agents by 2028. Support for domestic coding tools and computing resources should reduce adoption costs and benefit Chinese suppliers. The plan also calls for code security reviews and testing before software enters service in key industries.

Politics

Xi health rumors will increase ahead of the 21st Party Congress. On 16 September, rumors circulated on X that Xi experienced health issues at the BRICS summit in India and was hospitalized in Beijing "for serious emergency treatment." The sourcing is thin—based on a single clip of Indian Prime Minister Narendra Modi appearing to check on Xi—and we do not consider these rumors credible.

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Vice Premier He is still scheduled to visit New York this weekend and US Secretary of State Marco Rubio and Foreign Minister Wang Yi spoke by phone on 17 September. Those developments are difficult to reconcile with claims of a life-threatening medical emergency. The threshold for taking these rumors seriously would be He canceling the visit, or credible reports spreading through private channels. Neither has happened.

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Social media rumors and speculation usually do not merit serious attention, because overseas audiences often amplify them in response to China's opaque system. Health scares and coup rumors often tend to

spread ahead of major political events, including plenums, party congresses, and summits. Overseas Chinese accounts fuel that speculation through wishful thinking.

Foreign Policy

China's exposure to Middle East oil disruptions is growing. Xi struck a measured tone on the Iran conflict at the BRICS Summit on 12-13 September, calling for de-escalation while withholding criticism of either side. Xi's placid remarks belie growing concern in Beijing over the direction of the war, rising energy prices, and spillover of the conflict to the Red Sea.

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Beijing will prioritize protecting international shipping lanes in the Middle East. Foreign Minister Wang met with his Iranian counterpart in Beijing on 16 September, where he called for reopening the Strait of Hormuz and preventing the conflict from destabilizing Yemen and shipping through the Red Sea. China's normally friendly relations with the Houthis could also be strained by reports this week that Saudi Arabia had fired Chinese-made ballistic missiles toward Yemen.

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China's ability to withstand additional oil disruptions from the Strait of Hormuz or Red Sea has diminished since the early days of the conflict. Commercial reserves have fallen, and Chinese buyers are starting to return to the market despite higher prices. That shift probably signals Beijing's reluctance to draw further on its strategic reserves.

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The government will take measures to prevent further oil shortages. State-owned oil companies started requiring production cuts this month, and export controls on jet fuel and other refined products are likely to resume. China also raised domestic gas and diesel prices on 12 September.

Hong Kong

FYP aligns policy cycle with Beijing's but adds little new substance. On 16 September, Chief Executive John Lee unveiled the city's first Five-Year Plan (FYP). Its primary purpose is to signal that the city's medium- and long-term development will serve national strategic objectives (see Quick Take: Hong Kong's Five-Year Plan aligns development with mainland policy goals , 16 September 2026)

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Most listed projects restate existing commitments from previous multi-year frameworks. The FYP does not replace annual budgets or existing policy agendas, nor does it represent a governance overhaul. Hong Kong lacks the regulatory tools and administrative culture needed to implement mainland-style industrial policy.

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The strategy for the financial sector remains largely unchanged. Measures to strengthen Hong Kong's role as an offshore yuan and digital asset hub and to expand the Stock Connect and Bond Connect schemes have been government priorities for at least a decade. Only five of the FYP's 22 indicators are binding targets, and all cover the environment or land use. The remaining targets, including two related to finance, are aspirational. Senior officials have stressed that the government will not remake Hong Kong's administrative system to pursue more ambitious objectives.

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Hong Kong's integration with the Greater Bay Area will deepen, with the Northern Metropolis serving as the flagship project. The \$30 billion-\$50 billion infrastructure project along the Shenzhen border faces significant budget and timetable constraints. Those pressures will intensify ahead of Xi's anticipated visit in summer 2027 to mark the 30th anniversary of the handover.

Graphic of the Week

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The gap between strong supply and weak domestic demand widened further in August. With headline real GDP growth still on track, Beijing is unlikely to prioritize major consumption stimulus or additional broad-based fiscal support in the near term.

Standing Calls

Notes underpinning calls:

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Beneath the US-China truce, AI and commercial pressures are mounting , 5 August 2026

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Beijing's growing confidence will heighten Taiwan risks after 2028 , 15 September 2026

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Trade confrontation will escalate despite managed pause , 2 July 2026

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Beijing will maintain calibrated pressure campaign against Tokyo , 20 July 2026

Upcoming Events

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20 September: Vice Premier He will meet with Treasury Secretary Bessent in New York

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24 September: Xi will visit the US

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22-29 September: UN General Assembly high-level meetings

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27 September: Six-month deadline for China's trade investigations

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October: Fifth Plenum of the 20th CCP Central Committee

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1-7 October: China's National Day/Golden Week

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10 October: Taiwan's National Day

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21-23 October: Bund Summit in Shanghai (estimated dates)

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10 November: End of one-year suspension of US-China tariffs, Bureau of Industry and Security 50% ruling, Chinese export controls, port fees

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18-19 November: APEC summit in Shenzhen

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28 November: Taiwan local elections

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14–15 December: G20 leaders' summit in Miami

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